

To make it even easier to understand, the Renko chart makes a green brick whenever the underlying asset rises 10 points and conversely, the Renko chart makes a red brick whenever the underlying asset drops 10 points. Since only sustained moves are plotted on the Renko charts, it helps in filtering the noise and makes price trends stand out clearly.

Up bars

Down bars

Projection up bars

Projection down bars

☒ Wick

Source

Close

Box size assignment method

ATR

ATR length

14

Cancel

Ok

Another thing to remember is that unlike candlestick, the Renko bricks are always equal in size. I recommend using the Renko charts on its default model which uses the ATR (Average True Range). (Do not worry you do not have to know what ATR is to execute this setup effectively).

I am using the default model because the Renko charts with ATR based brick size adjust to market conditions automatically.

I hope you must have got a clear idea of what Renko charts are and how it differs from the traditional candlestick chart. Next, let me discuss the rules of this trading strategy.